

him a mortgage because of it. Dan was told that he would first have to pay off a \$9500 credit card debt in order to clean up his credit report and be approved for the mortgage loan.

Dan showed proof that this debt had been discharged by the bankruptcy court. The bank said he had to take it up with the credit card company. His credit card company – let's call it *GreedyBank* – had failed to update his records and cancel the debt. They did not report it to the credit reporting agencies, so his credit report still showed the debt sitting there, no record of discharge. Dan offered repeated proof of the discharge, but GreedyBank, of course, did nothing.

The bank's hands were tied because their mortgage approval is based upon the credit report. The credit reporting agency said that GreedyBank had to give them the information. Dan fought with GreedyBank to correct his credit report, but they still did nothing. Dan, at his wit's end, finally gave up and paid the debt to clean up his credit report so that he could buy his house!

Imagine! Poor Dan had to pay almost \$10,000 to clear his credit and his name, for a bill that had been legally eliminated. Do you find this outrageous? I do!

It has come to light that credit card companies often fail to cancel bankruptcy discharged debts. It is not an oversight. It is deliberate. They hang on to these debts as a means to pressure consumers like Dan to pay amounts that are no longer required to be paid. It makes my head spin just thinking about it.

Sometimes creditors sell these loans to little-known firms who then try to collect the funds. These companies are a fast growing and big money industry. A few of these companies are even traded on NASDAQ.

Never heard of such a thing? You are not alone. Even seasoned bankruptcy judges are shocked by the revelation of what is being called "the secondary market in bankruptcy paper." Because the stakes are high – bulk sales of these debts have been reported in the billions of dollars – the field is growing, as is the debt total involved. Growing competition by hundreds of companies (I counted 250 on one partial list) is increasing the price of the debts as well. This just adds to the